Growth Expectations Are Probably Too High | Andy Constan on Post-Midterms Macro View, Bond Supply Issue, and QRA (Quarterly Refunding Announcement)

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis: The episode posits that the election outcome (Democratic control of both chambers) creates fiscal gridlock, preventing significant tax cuts or major infrastructure spending unless bipartisan consensus is reached, positioning the U.S. economy in a contractionary fiscal phase post-inflation bills. Consequently, high bond yields and supply/demand imbalances are bullish for bonds but bearish on equities in sectors heavily reliant on capital expenditure (CapEx) without clear profitability. To hedge against inflation, geopolitical risk, and potential real asset scarcity, the host recommends increasing exposure to tangible assets through actively managed ETFs.

2. Key Arguments & Data:

3. **Fiscal Policy & Gridlock:** The combined government cannot generate major fiscal expansion without Republicans (Trump) using the "nuclear option" to eliminate the filibuster; currently, gridlock restricts legislation. Deficit spending remains a net drag on growth as consumption drives economy rather than government spending.
4. **Bond Market Dynamics:** The bond market has shifted from a 5-year bear run to a portfolio-suitable position. 10-year yields are no longer negatively expected in return terms (previously near 65bps). Yield increases are driven by three factors: inflation expectations, growth expectations (currently high), and supply/demand imbalance (issuance vs. savings glut reversal).
5. **Treasury Intervention:** Treasury Secretary Scott Bessent attempted to suppress long-term yields via a quarterly refunding announcement. The QRA maintained 20-30 year bond buybacks at $192 billion/year (previously $64 billion), effectively leaving the market open to float without direct intervention unless yields hit ~6%.
6. **Equity Market Conditions:** Equity markets (S&P 500/Nasdaq) remain sideways with low volatility. The AI/semiconductor trade is not a "popped bubble" yet but shows high earnings expectations that are fragile. Net share issuance has shifted from ~2% of GDP reduction to projected 0% next year ($700B shift).

7. **AI & Tech Supply Chain:** Corporate capital expenditure (CapEx) for AI/semis is a net issuance driver. Companies like Oracle and Microsoft are financing CapEx via equity sales rather than buybacks, creating supply pressure. Hyperscalers (Microsoft, Amazon, Google) are outperforming infrastructure names (Sterling Infrastructure, Vertive) due to compute scarcity fears.
8. **Inflation & Consumption:** Consumption drives 67-68% of the economy and is driven by wealth/interest earnings rather than wage gains. Inflation remains above target but meandering. Fiscal drag will continue as long as government spending exceeds tax growth rates.

9. **Sector Rotation:** The AI trade showed dispersion; hyperscalers up due to compute scarcity, while infrastructure names down due to overspending concerns. Oil prices fell significantly, benefiting bonds and stocks.

10. Actionable Takeaways:

11. **Asset Allocation:** Aggressively long bonds (specifically 10-30 year notes) for portfolio diversification and downside protection; flatten out speculative positions if yields stabilize.
12. **Equity Positioning:** Avoid directional bets on equities unless growth expectations disappoint significantly; be prepared for a potential V-bottom in bond yields which could signal equity relief if the economy slows.
13. **ETF Selection:** Consider Sarmaya Partners' Return to Tangibles ETF (L-E-N-S) for exposure to energy, materials, and precious metals to hedge against inflation and geopolitical risk.
14. **Sector Watch:** Monitor hyperscalers for capital allocation shifts; avoid sectors with high valuation multiples where earnings expectations are fragile (e.g., certain AI infrastructure names).
15. **Market Surveillance:** Track the Treasury QRA and long-end yield suppression efforts by Bessent closely; anticipate yields to move based on macroeconomic data rather than fiscal intervention.

Full Transcript

This episode is brought to you by Sarmaya Partners, who manages a Return to Tangibles ETF Lens, ticker L-E-N-S, the Sarmaya thematic ETF built for a Return to Tangibles. Learn more at SarmayaETF.com and see the show notes for disclosures. Let's get into it. Today, we are joined by Andy Constan from Damp Spring Advisors, and of course, my partner in crime, Max Weethy. wow guys yesterday we had what's been called a blue tsunami democrats winning both the house and the senate and they're quite interesting and severe consequences of the market the s&p 500 is ripping but the dispersion is massive between uh there's there's a true carnage in i would say a certain part of the ai trade the ai infrastructure build out so stocks like sterling infrastructure or veritive companies that basically make money literally from data centers being built out are having very challenging days to put it mildly. Semi-conductors, of course, are also down as well, however, not as much. And the hyperscalers are ripping at Microsoft, Google, Amazon, perhaps because compute will be scarce if there's not that much of a build out. I want to start with you, Andy. What are the consequences of yesterday's...

election on macro fundamentals and the asset markets that you follow broadly stocks, stocks bond commodities starts out. Sure. So I think it was a little bit of a surprise, a little bit of surprise in the intensity. But the outcome to me was in a pretty narrow range. And what I mean by that is the policy outcome in that the only way that the combined government in the United States was going to be able to fairly, without a lot of politics, create fiscal expansion, additional fiscal expansion, is if the Republicans held both chambers and Trump convinced some significantly recalcitrant. senators on the red side to pull the nuclear option and eliminate the filibuster. And that was the way that was the only outcome that was going to get major fiscal expansion as a risk factor to the market. So that doesn't exist anymore. And on the margin, it's worse in that now there's no way that we get anything that can be nothing passes fiscally.

without lots of things that appeal to the Democrats. And the Republicans are going to say no to most of those things, as likely as Trump. So we're in a

position where, hey, we can even struggle with continuing resolutions to keep the government open now. So what I would describe is, we were heading for gridlock, and that's where we are. Do you, I mean, Trump did come out today and say he doesn't wanna just be vetoing legislation for the next two years. To avoid that, do you think we're gonna get some pretty out there legislation that he just can't pass? Or do you think he might play ball? Well, I mean, again, we have this filibuster issue that works both ways, which is let's just say, posit that Trump really has no party and he's just.

the president and he decides that he wants to work with the 54 or 55, whatever it turns out to be, Democratic senators to pass legislation. He'd still need six Republicans to get through. So it's a sort of tricky thing for him to be able to even join up with the Democrats. Could he join up with the Democrats? Sure. Could we get a bipartisan bit of legislation? I think we could. The question is, what is needed as it relates to legislation given the circumstances where you have any sort of fiscal stimulus is going to continue to cause to be fairly inflationary. One thing I know for sure is if for some reason, and there's nobody calling for this, if for some reason the stock market were to fall or a financial crisis to where to occur or a...

or an economic slowdown, a meaningful economic slowdown. At that point, you would see some deficit increasing legislation that could probably be bipartisan. But at this stage, I wouldn't expect a lot of bipartisanship, no matter what they say. So Andy, you're saying that this is broadly going to constrain potential fiscal expansions on the margin and as a result is bullish for bonds and perhaps bearish for the economy and stocks, although I don't want to put words in your mouth. Well, again, I mean, the question is we already have the ongoing, the OBVB. One big bill, yep. I'm saying that that happens to be modestly contractionary now. We've passed through the first 18 months, which was expansionary. And now we're in a contractionary position. And that means that Fiscal is going to be a drag on the economy, but there's so many other things that are going on at the margin Basically existing law to me does not seem to be either it's it is what it is. It's going to be a slight drag And I just don't think there's going to be much variance around that without some sort of real crisis Which again is not what anyone expects. So I think what happens is you have the private sector carrying the economy instead of the government carrying the economy. And by and

large, that's what's been happening for, you know, for quite a number of months. And so, yeah, when you say fiscal drag, you meant that deficit as a percentage of GDP was some largest number, and it's going to become less large. And that's just the rate of change. That's what you mean by fiscal drag. Well, what I mean by fiscal drag is that the rate, the growth of the economy absent the fiscal, you know, the economy grows based on consumption, investment, net exports, and government. If you take the three things that are not government, and you then say, how does government affect? Government has to consume, spend. And when it does, it has to be at a rate greater than, it has to be an increasing rate greater than the GDP. That isn't what the projection is. So it's a drag.

It's just that simple you know this there are people that say what you know deficits are nobody stops this train. That's just false There's the government is a drag on the economy today government spending Net of taxes is a drag on the economy going forward and it's not likely to be regardless It's just not going to change very much in a gridlock circumstance Yes, and so so any what was your view of bonds? Two days ago before the election and why and what is your view now after this election and why would tell us the change there? Sure, so there's lots of things going on in bonds They have been they've been in a five-year bear market They made new all-time highs and well not all-time post COVID highs in real rates in term premium in nominal rates for everything out on the long end That's new And what I observed in late September and then aggressively in early October was that bonds have finally become, once again, suitable for an investment portfolio. Listen, they're not going to do great if the economy continues to grow strongly. They're just not going to do great. But that's not why you own them. You own them to do well when the economy isn't doing great.

and you can own more stocks per unit of risk you're taking, if you own some bonds too, then owning just stocks alone. Now, that hasn't been true for a long, long time. When 10-year notes were at 65 basis points, there was no value in owning bonds whatsoever. For one, they had a negative expected return, and two, they couldn't rally if the economy went in the trash. Now, they belong in the... conversation. For five years, everyone's been 60, 40s dead, blah, blah, blah, blah, blah. Of course it's dead, because people bought it when 10-year yields were at 65 basis points. But now it's

alive. And so I think that got me aggressively long bonds in the early part of October. And that trades running its course. From a macroeconomic standpoint, economy is still strong, inflation is still above target, the Fed is on a hiking cycle, you can say how much, but isn't on an easing cycle. And there's been a fairly significant drop in yields off the highs. So while I still think they're perfectly fine for an investment portfolio, as a speculative trader, they seem less interesting to me. So I'm actually in the midst of flattening out my long, which was a maximum long bond position.

in the process of flattening that out in the next day or two. I wanted to wait to see what happened in the election and see what happened in the quarterly refunding announcement because Treasury Secretary Besant has been very aggressive manipulating the long end of the Treasury curve through his actions since August 18th and arguably for years in the past. which is literally exactly what he criticized Secretary Yellen from doing, who did that for sure, who definitely manipulated the long end of the Treasury curve. But as of August 18th, when he increased the size of the long-term bond buyback program, which already was buying roughly 64 billion worth of 20 and 30-year bonds, per year, that's the pace. He increased that to 192 billion per year pace. And that was a direct, you know, he talks a big game about this, but calling himself the house and blah, blah, blah. It's simply a political decision to suppress long-term interest rates. That's all he's doing. And so I wanted to see how he would follow through given that every four three months the the Treasury meets with a whole the whole Treasury staff meets with 15 Wall Street folks In their regular roof funding to talk about the markets and what the market should get and where how well how they should issue and so on and So I was interested in owning bonds over that and that came the details of that came out this morning I'm interested in drilling down on that reversal that we saw in bond yields, because it did coincide very interestingly with a local top in a lot of the AI semiconductor trade. We saw a blowout in credit spreads in a lot of the linked credits on that day. And it was a weird day where you had bond yields rallying, spreads blowing out. We hadn't had a day like that in a very, very long time.

Do you attribute the rallying bond yields to a negative view on the AI cap expending, or was this a new quarter rebalancing? What do you attribute the move to mostly in the short term? So I think the most noticeable thing that's

been happening over the past couple of years is a incredible trend of growth, real growth. Shore inflation has been higher than we'd like and high-ish. But that hasn't really been the story. Inflation's been above target by half a percent to one and one and a half percent and sort of meandering along there for a while now. But what has been very clear is the significant amount of growth, real growth. And that's a combination of, so the AI productivity story is something in the future.

but there's been an AI investment phase which has had some positives for real growth, though a lot of that's negated by imports, because what we're doing when all this capital expenditures are being done in the United States, if you buy all the stuff from Japan, Taiwan, Korea, China, The CAPEX impact is on their GDP, not ours. And we transfer that through by imports. So what's really been the case is the consumer has been very, very strong. Consumption is 67, 68% of the economy, and consumers have been doing well. Now we can get to who's doing well, why are they doing well? But one thing for sure, in aggregate, consumption has been strong. And it's come from not from wage gains. It's come from wealth. It's come from investment earnings. It's come from interest earnings. It's come from wealth and low interest rates, which have led to levering up of consumers who were pretty underlevered or those who had leverage had excellent.

Cheap interest rates where they had put their leverage on so their debt burden was very low. So there's plenty of ability for The consumer to borrow certain consumers again, it's very uneven. We recognize that but for the aggregate economy dissaving has been a strong support of consumption and that continues to be the case. So I say all those things and say, that's what's been happening. Very strong growth. And with very strong growth, you have very strong real yields because if you can invest in something that has strong growth, why would you lend to somebody instead? You'd want to invest equity. So you wouldn't want to lend bonds. And so you need a higher real yield to finance debt.

Now that's the primary thing that's been going on secondarily. There's been a supply thing and that is And it's I want to be clear the two drivers of bond yields are really inflation expectations and growth expectations I happen to have a pretty big reputation over the years of being very focused on the

supply and demand of bonds But that's because that's the extra edge. I think there is in markets always price at the margin because it's a new thing. It's unusual relative to past supply and demand situations. And so I think it's extra edge. But table stakes, when you come to trade bonds, table stakes is having an understanding of growth and inflation. And that's what I said is inflation has been meandering and growth has been strong. And so that's bad for bonds. And it's been bad for bonds. At the same time, there has been a supply and demand imbalance.

And that is, so as I said, when a consumer wants to spend and they do it through borrowing or dis-saving, they're selling a bond. And somebody has to buy that bond. Dis-saving means Jack sells a asset and somebody else has to buy that asset and for there to be a net impact, somebody has to lever or else. your dissaving is my savings and neither of us have, we may have marginal propensity to consume that are different but by and large somebody has to lever up and that creates more bonds. So there's the consumption, the dissavings factor and then there's the investment and that's been a sizable change. It's really been since the OBBB. I sort of looked to the big change being when Oracle did its debt deal in September of 2025. That sort of was like ringing the bell that holy moly, there's a lot of debt for sale. But there's a lot of debt for sale. And of course, the Treasury continues to run a 6% deficit to GDP. That's a lot of debt for sale. And lo and behold, Europe and all of our allies are saying, holy moly, we may have to defend ourselves. So we're gonna have to increase our fiscal spending, which means increase our selling of bonds. So then we get to AI, the quantity is truly amazing, right? Because for a period of time the, so the CAPEX is the ask and the funding of that ask can come from free cash flow.

It can come from accumulated cash. It can come from canceling your share buybacks, which means you get to use some of your free cash flow in investment, or it can come from public markets. And over the last 18 months, the major CapEx spenders have gone through all those things. And so now all you get is public issuance. So every day, you'll get a 25 billion benchmark. Corporate bond issuance by a hyperscaler you get an equity sale by a by many by meta by Oracle again, but yeah, they just it just keeps coming and so That so my point is all that supply is new. There was for most of my career. Well, I wouldn't say most for since the 2001 sort of bear

market. There's been a savings glut, which means more savings than there are assets. And corporations have added to that by saying, geez, we're going to buy back our shares. We're going to reduce our share count. And that's been a 20-odd year trend. And what has happened is this combination of dissaving, government issuance, and corporate issuance has flipped.

that to a deficit of savings from a surplus of savings, from a glut to some somewhat rare. And what happens? Every asset goes down a little bit, yields go up a little bit on the bond market, and that's what we call risk premium. And so those three things are at play. The two drivers have been some combination of growth and risk premium expansion. Both of those things have happened over the last six or nine months. And lots of people say, geez, you know, are we, is there just too much supply? Is it going to crash the market or we can have a failed auction? Are we not going to? No, markets are always open because the moment the government borrows money, it spends that money, which gives it to savers. And those savers need to buy something. So there's a circle that causes, there's always a bid for the bonds. It's just a matter of price. And so the price has been going higher and it's happened all at once.

So the risk premium is that rising risk premium makes bond yields go higher, makes stocks not go up as much as they otherwise would, recognizing that most of them is getting driven by growth. And that pretty much reversed because we got to a price where people said, huh, bonds are okay. And it all happened at one point. And remember, we've been on this massive growth trend. They don't go in one direction forever. Sometimes there's a slowdown. Sometimes just people's expectations of growth get marked out. And that's what happened. The growth expectations got marked down over the last three to six weeks. And do you think that was purely the AI story? I don't know, you know, it's all of the whole economy. The growth expectations got marked down. I think there was a lot of exuberance in the AI economy, but it's all, you know, you had, we called a bubble in stock market and semiconductors in particular in the late part of May. Semiconductors have been trashed for a long time. So it wasn't a semiconductor story. Hyperscalers have been big issuers. It wasn't a...

specific to them. It was just a broad growth slowdown. And you can tell it was a broad growth slowdown because bonds rallied. Andy, I got some more questions for you. But first, we've got questions for our audience, which is... How much of your portfolio actually depends on the physical world? If you own the S&P 500, more than a third is tech, energy, materials and precious metals, about 5%, Sarmaya partners believes the next cycle belongs to tangibles. The energy and metal sectors have been underinvested and underloved for a decade. They call it a return to tangibles and lens ticker LENS. The Sarmaya ETF is an actively managed ETF that they managed to express this view. and active is the point. The team follows the theme across sectors, market caps, and borders as the cycle evolves, adding where they see opportunity and trimming themes that look overextended. Miners, energy, precious metals, critical metals, all in one actively managed ticker, LENS. When inflation runs, stocks and bonds can fall together. Lens adds real asset exposure with the potential to diversify both the stock side and the bond side against inflation and geopolitical risk.

Learn more about the LENS ETF, their full data and comparison, including performance at SarmayaETF.com. Investing involves risk, including possible loss of principal, the fund's investment objectives, risks, charges, and expenses must be considered carefully before investing. This and other important information is contained in the prospectus, which may be obtained at SarmayaETF.com. Please read the prospectus carefully before investing. Andy, I'm wondering just about bonds. Why did you turn bullish in October if you just painted this secular story that's quite bearish on bonds? Is it the growth expectations that all the economists looking at all the data price in or did you have a certain signal or just contrarian bet? I've been building a bunch of things that I think in aggregate.

will result in some disappointment in growth expectations that are, in my view, fairly exuberant. Everyone loves to say, anybody who says that growth is going to slow. The next question is, do you think there's going to be a recession? Yeah. And I'm not anywhere near that. I'm just saying growth expectations are pretty damn high. And you know what? They might go a little lower along the way. They may deliver 100% of expectations. But as a betting man, I'm saying that these expectations are high-ish. And I think there's a better chance that they, for the moment, falter a little bit. And I

have a variety of reasons why I think that is. But you're just saying, like, We can all say what growth expectations are. They're high and then we can say are they gonna be higher than that or lower than that and the answer is no one knows but you have to make bets Well, you don't have to make bets. You could just not play But if you're gonna play you have to make a bet on growth expectations They have been the principal driver of stocks and bonds by far and if and you have to make a bet and my bet today is that we're gonna see a period of, you know, three to six, over the next three to six months, we're gonna see a disappointment relative to growth expectations. Now the good news is, if that turns into a recession, you know, there's a matter of the destination, which is, I use islands, famous for it, is it recession island? No, but if you're heading in that direction, your positions look the same as if you, if that was your destination.

So I don't care what the destination is, I've noticed the winds have shifted. That makes sense. How does that impact your view on stocks? What's your view on stocks been the past few months, and what's your view now? I've been pretty neutral on stocks. My big problem this last three months is I've had calls, I've had puts, and both of them have expired worthless because The market's just gone sideways unless you're in sectors, which is not my game. But if you're in the S&P 500 or even some of the major other major indexes, we've been sideways for many, many months. Very low realized volatility, even a day like today, which was a huge day. The Nasdaq realized, I don't know, 17 vol. It's just going sideways. And so the only way to make money in that environment is to just Not buy options and frankly the short options and that's a dangerous game. So Yeah, it's it's I've been pretty neutral on the stock market for many months and The sell-off and bonds was the last thing I needed to say, huh, we're gonna have a gross slowdown Now that could be and that's why I was so focused on the qi that could be 100% derail that view could be a hundred percent derailed if the Bond market were to V top meaning you go up to I don't know five and five and 32 or wherever we got in tens and then you drop straight to the floor to four and a half or four and a quarter if so equity markets gonna rip

Assuming it's down because of some sort of market manipulation or some sort of thing, obviously if the economy rolls over, stocks aren't going to go up. But every other time since COVID that bond yields did what they've

done over the last few weeks, they've V-topped and policymakers have eased rapidly, whether it's the SVB. situation, ending hiking cycles, being just broadly dovish for a while now, every time the bond market sold off or changing issuance policy, policymakers stepped in and saved the bond market, which saved the equity market and stimulated growth and inflation. So there's always a possibility that happens. And I have my eyes very closely peeled to that potential. There's also the possibility that you have a major fiscal expansion. I just ruled that out, and I think the market is going to rule that out. But you can still be wrong in equities if animal spirits in the private sector says, we want to continue to build data centers. We're able to build data centers, and the market's willing to lend to build data centers.

and consumers are not fearful for their jobs. And so they just save and lever up. You know, there's lots of reasons why equities can still go up. My short term view is that we're in the beginnings of a slowdown and that interest rates are not going to save us. That interest rates are, listen, they're a lot more attractive than they've been, but I don't think we're going to four and a half on 10s anytime soon, unless the economy weakens. we're not getting manipulated down to four and a half by easy fed policy or Treasury Department manipulation. And so I think- Is that just the inflation story? I think it's a combination of inflation and growth and supply and demand. Like we still are, you know, these corporations still and maybe There's a brief pause in CapEx because of regulation or politics or whatever you might call it, which is the narrative of the day. But it's coming. CapEx is coming or else, you know, semiconductors are fucked, but CapEx is coming and it needs to be financed. And so there's still, and the deficit's still large. So all the factors that are keeping yields high are likely to stay in place.

which means you can't, I mean, I like bonds, but I'm definitely getting out of them. What about the equity side, right? You talked about how buybacks had been so important. We're moving away from that. At the same time, we have all these companies issuing, I'm not sure exactly whether this is going to end up being a net issuance year compared to buybacks and how different that's going to be from the years past. I'm having an AI run the numbers as we speak, but that's certainly a major regime shift. How do you think that's going to affect the market more broadly? And we love to factorize things now. Do you think that that's going to create scarcity for the

buyback factor? Do you think that companies that are able to return capital shareholders are broadly going to do better when there is a shortage of that in the market? So let's start with what we've been doing. We've been doing this for a long time. I've been involved with buybacks for executing buybacks in the early 90s. Now, it's been part of my...

understanding for a while. And what we do is track it. We have been tracking it for years and in fact have been publishing it for many years. Now it's pretty commonplace that you see it. But for most of the last couple of decades, net shares, so companies have certain actions in which they change their share count. And so if you just focus on what the company does, you miss some other things, but just focusing on what the company does. They can sell stock, if they're public, they can private, they can IPO stock, they can buy it back. And there are lots of different ways to do that. And so what we do is we sum all those actions up. And for decades, it's been a share count reduction has been running at around 2% of GDP.

Which is significant that has shifted. I don't know if we'll get there this year, but we're projected to get there next year to 0% of GDP and so That's a big shift. You know, that's what almost trillion dollar shift in 700 billion dollar shift in Net supply and demand of stocks, which we think is relevant and impactful and it Other thing is, it doesn't look like it's changing anytime soon. The one caveat is that Microsoft, not Microsoft, not a good example, Meta cancels their share repurchase and buys an Nvidia chip. And Nvidia now has more cash flow and increases its share repurchase. So again, it can be very circular. So you have to pay attention to net of those things. And so net right now, when Nvidia gets a dollar of Metta's share repurchase canceled cash flow, they don't spend the whole dollar on their own shares. In fact, they often lend it to other people. So there's some other, you know, you really have to track this carefully because every player matters. The companies who are getting, who are gifting shares as and as compensation to their employees, those employees then sell those shares. So you got to count all those things. The change, which you just, the simple thing is you just have to look at the CapEx number. That change needs to be financed, and it's being financed partly by shares. And we don't see that changing. But is that going to create a headwind for stocks? Are investors going to view that CapEx?

Are we going to suddenly become long-term investors and look at that CAPEX and say, this is what companies are supposed to do. We want to see that. Or are we going to be in the regime we've been in for the last 10 years, which is I want to see you returning capital to shareholders? Well, I don't think we have a choice for the latter unless they stop CAPEX. Yeah. You're saying we're not any. No, but I'm saying we'll punish them. We'll punish them for CAPEX, even though we say they need to be doing it. Yeah, I mean I don't like using those words, but let me just say this You look at the common companies that have issued stock compared to where they sold it compared to where their stock price is It's it's having an impact Google is 15 below. It's anyway Intel 95 offering, you know, you look at NBIS doing the convert at 186 You look, Cerberus did their IPO at double its price. Those who are buying the thing that are getting sold, they're getting punished. That's for sure. And that creates some hesitancy to put the next dollar up. Yeah. Well, you got a right to vote, Andy. Yeah, we got someone saying I voted for Andy. A right. Andy, I wonder, we did an interview probably at the among.

close to the peak in semiconductor stocks, AI stocks, and you said that, you know, we title it something like, this is my fifth bubble, or this is my sixth bubble. I'm wondering the three to four months that have transpired since then, did they feel like the de-popping of the dot-com bubble, or did they seem kind of like a spasm during the bull market, like there was a panic in 1996 or was a panic in 1998? you know, a small panic. How have you interpreted the considerable weakness in the AI trade broadly? You know, we could call it AI 1.0 trade, the semis, but even more brutally has been the AI 2.0 trade, which is the infrastructure names. Right. That's complicated. I would say that I look at the aggregate NASDAQ and say there has been no bubble popped. This is not what a popping bubble looks like. Not even close.

We're almost at all-time highs. There's no bubble that's popped. Now, then you look down a few sectors, there certainly was mania going on in storage and semiconductors that was brutally obvious to me. I don't trade sectors, but clearly you had stocks trading with 100% out-of-the-money calls trading for 100 vol. There was just a speculative frenzy. Don't get me started on Korea. You know, it was a specular frenzy and that seems to have

calmed down and now these stocks Again, so I think the important thing is there's a matter of price as that defines a bubble some of that's gotten a little bit gone a little bit sideways and some has come out but There has been no degradation in earnings expectations and the earnings expectations are extraordinarily high And so I think there's still a bubble in earnings expectations and some stocks have reflected some uncertainty on that. And in terms of winding back the clock to other bubbles, I think it's very hard to compare one bubble versus the other. I think this is, we've been in a tech bubble in an AI earnings driven, an earnings bubble.

for which where we went parabolic on earnings expectations for about six months and it hasn't popped. And it could last for another six months and could expand significantly from here. We're still in a bubble regime, but it certainly hasn't popped. Yes. I keep on doing a back test compared to, you know, the dot com crash, 1929, 2008, 1970s, of course, 2022. And it's interesting. I can't help but conclude and be left with the incredibly unhelpful conclusion that this is either a bubble popping or it's a great buying opportunity, which I know is kind of tautological because you're not really saying anything because anytime something goes down 30%, yes, it's either going to be a crash and it's going to be bad or it is a back down. But I don't know. I will share with you my mistakes in trading bubbles.

is I haven't made mistakes fading a bubble. So I'm not one of those guys that's gonna, if I see a bubble jump in, like George Soros allegedly does, I see how that worked for Druckenmiller. He jumped in at the top, but they're the same guys, but who knows? I'm not that guy. I stand away. When something's in a bubble, I don't short it, I don't go long it. I just say, this is not for me. I don't know how to do this. Where I have made mistakes without a doubt is buying on the way down after the bubbles popped and so I'm actually more concerned for investors that are Trying to buy this dip if it is in fact a bubble I'd rather them not lever up. I'd rather if they're long stay long find no problem But don't be doubling down like don't Martin Gale into what could be a bubble slowdown because that's where real money is lost That's Very good advice. Andy, I wonder, I've made the claim on this show that really what's driving the bull market is AI, the CAPEX and the ROI, the real ROI as well as the perceived ROI of that CAPEX and markets. And I've made the claim that basically, you know, if all these AI

semiconductor stocks sell off and all of the money goes into financials or goes into healthcare, consumer staples.

That's really not an engine of a bull market. Yes, it's great, and yes, it holds the index up, but it's to be dramatic. It's a little bit like the little chambers in the Titanic. It's not really something that can take us to North America. And I wonder what you think about this because you as a macro analyst are looking at the S&P and the NASDAQ. Do you agree with the claim that the real driver of it in the long term is going to be the AI CapEx. Or do you think we can stay in this period where like, certain tech stocks are crashing and yet the index is holding up because, you know, everyone loves Visa and MasterCard and UnitedHealthcare all of a sudden? Yeah. So I'm not much for thinking at the Mac about rotation within the equity market.

I'm focused on what the overall drivers of the equity market look like. I would say that when you have rotation, it's not a net flow in or out of equities. So to me, that's an important observation. People aren't looking to get out of equities. They're looking to, hey, I like the equity that guy owns more. I'm going to bid it up to get it from him. And the guy who has that money says, ugh. I just sold my equities, I got to buy somebody else's equities, and that whole plays out. But nobody says, hey, how about bonds? And so what I think drives equity prices is the same thing that drives everything else, which is earnings expectations, which is growth, nominal growth actually, inflation, et cetera. And so I think the equity market does well over the long term.

if a dollar that is handed to somebody to a company earns a good return. And so I don't know whether AIs, the price of equities reflects a good ROI for that dollar of investment. I would say it would be hard for me to believe that Costco offers a good return to investors. that stock never goes down. I would think it would, I look at Nvidia and say, huh, 14 PE, greatest company in the world. Gosh, I should own some of that. But, you know, then it keeps going down because it has these things in front of it that, and frankly, everybody owns it. So when I look at the macro, I know this, there's going to be winners and losers. I can't predict them. I don't think anybody can.

I think people are really bad at predicting companies, and everybody's trying to do it. And the rotation that's happening just churns people to death. And so I don't think that's necessarily super healthy. But there's no evidence of that. Basically, if you own stocks, they're going to work out. If the growth that's built into them, something equal or better ends up happening. And to me, that's almost impossible at this stage. And that's why I say there's an earnings expectation bubble. I don't think it's possible that the aggregate set of stocks are going to survive. Now, you look at a stock like Google, which is just a great example. They've got this unbelievable legacy business, which AI could literally end. And they have an AI business that's trying to kill its own business. Now, they'd rather it didn't, but, you know, Anthropics trying to kill it too. You know, so you look at these companies and say, You know back in the old days you'd have Barnes & Noble, which was the legacy business and you'd have Amazon and they were two separate companies You can bet on them. What do you do with Google? It's a complex. It's more complicated now than it was I think back then and so They're gonna be winners and losers but in ag I guess my point is in aggregate the amount of issuance that's needed to achieve the growth that's priced and is still and which may not actually the issuance may not actually be able to clear the market at current prices and The growth that that implies of the overall economy Says we're just there's just no possibility that we're going to be able to achieve that growth and Yes, so someone someone is saying what about the earnings bubble being dragged along with corporations massive equity investments Yeah, this is this is a good point. So optically earnings per share for the S&P 500 this year up like 33% and expectations were for like 16% next year, which is obviously sounds really good. But it is somewhat lower. If you net out the, you know, Google and Amazon made money from investing in SpaceX and writing up stocks. Yeah, I don't think people should be including that as it's certainly a non-recurring thing. Like you can't have valuation of SpaceX 5x every single year. So I think people should take if they hear some rosy number about EPS growth.

They should investigate. Does that include those write-ups of valuation because it can't be 100% 100% if you if you have a company that has a cross-holding That's not recurring in earnings. It would be like some Digital treasury company believing when Bitcoin goes up that that's earnings and

requiring a multiple to it. Did anybody do that? Oh, yeah. Yes. I think so. We got a question, Andy. Yep. There we go, Max. Thanks. Do you think midterms was a clearing event? I'm going to expand it to just the broader market. Then was it a clearing event for semis? And I want to ask about post-election seasonality. Obviously, post-election is both midterm and presidential. You tend to see positive returns. Of course, the one glaring exception to that is 2000.

or one of the major glaring exceptions that is 2000. So I'm interested in what you think about midterms and seasonality post elections and how that factors into reviews. Sure, I did. I wrote a piece called the midterms, which is on my website at dampspring.com and it's in the archive so you can get it. It's floating around on my Twitter account as well. I've looked at all the midterms in the modern era. I consider the modern era the years that followed Nixon. of getting off the gold standard where money became a very different thing. Midterms don't matter. There is no seasonality. There is no post midterm. For one, the sample size is impossible for you to conclude anything anyway. Two, markets go up, except when they don't. And 80% of the time, I don't know what the right number is. 80% of the time, the mark goes up, so it goes up. So I don't place anything at all on that. I look at policy and I think there was an interesting, the only thing that I would say is you want to look at, from a causality standpoint, you want to look at something in which there is a substantive policy change that is going to get implemented. I look at 2017 as an important election because that was where the massive corporate tax cut was made.

Just the moment that corporate tax cut was made stocks were 10% more valuable Straight off it took a while for them to get that 10% and so there was edge in that you could make money in markets by saying hey, this tax cuts gonna pass Then watch it pass then have the market react it took time for that to play through and created a very low-vol market and so on 20 1994 was an interesting case study in which The Republicans won both chambers of Congress, I believe both. And that was a change. And we went into a gridlock environment. And so you hear a lot about this, and this was the case. Gridlock, markets like gridlock, and they do. And the reason why people say that is because of this 94 thing. In 94, subsequent to the election, markets just went in one direction for.

until Greenspan famously cut sorry they had hiked and he began cutting as well so policymakers actually supported it. You can have a significant thing if a major policy outcome has happened. I don't think yet that more gridlock is going to necessarily be particularly healthy for a market that depends a little bit on fiscal expansion over the last few years, quite a bit I would say, certainly going back to 2020. So I don't think that I would say, hey, the politics, anything happened yesterday from a macroeconomic standpoint. Interestingly, a lot of the policies that might impact certain markets are at the state level. Sure, right, right. Listen, we could get clearly one of the narratives today. You'd have to be literally blind.

and deaf and mute and all the, I don't even know if that's politically acceptable, even use those terms anymore. You'd have to be blind to not notice the trade today, which was out of semis, out of neoclouds into people who have been overspending on CAPEX as simple as possible. Why? Because there's some view that there's gonna be a lower amount of of compute build out. Now, I look at that and say, this is an interesting dilemma. It's a dilemma between price and volume. And you have to say, which is what's being priced? So the companies that have been overspending can't spend. Let's presume they're unable to build. And so that means there's less capacity coming online, which should increase the price of compute. Yes.

Now, is that better than having more volume come online? It's not clear to me that it's better. Like, would you rather make 20 cents per dollar and make 10 or 40 cents and make 4? Well, clearly, you'd rather have the second one, the first one, because you want to have the amount of earnings you can have. So it's not obvious to me that, and we'll have to see. We'll have to see what prices. do. If there is a scarcity of compute, can anybody, like I look at it a macro level, well, somebody has to buy the compute. Okay, so how do they pay for it? Well, they sell AI tokens. Well, what if the AI tokens are not, there's no, no way to pass on pricing to the AI tokens? Does that mean there's any demand for the compute? No. Then you have to look obviously at the companies that are getting hammered, which are the ones that those entire um existence depends on selling the infrastructure and selling the chips and those guys you know they definitely are going to be experiencing the slowdown there's no doubt about it because they're going to have a glut

of chips they're going to sell less of them at lower prices that's not a good situation so anyway that's an obvious trait like everybody on the planet knows that trait and it happened today and it's important the thing that caught my eye about today was nothing to do with that rotation now that's again because I don't really pay attention to that sort of stuff but the price of oil fell a lot and that to me is good for bonds and good for stocks and good for gold and good for lots of things and all those things sort of played out today um and the question is what's going on in the middle east you know is that is the war over have we surrendered essentially because personally I don't see any necessarily change in the Iranians like What what's changed for them nothing for us? There's been some election lost allegedly because according to the vice president because of the war Certainly everybody because of recognizes it has something to do with prices. Yes And so did we surrender and if we surrendered what does that mean? And so I'm starting to pay attention to that the bottom line is I wouldn't read much into the last 24 hours of prices You know, you just can't But do I think the AI trade is done? Do I think you can't own semiconductors because they're never gonna sell another chip? Do I think the productivity and value of tokens is the zero? No, I think these are the greatest things in the world like I've been working with some form of Compute to generate productivity for 40 years and this one is it's ramping up in a ways we all can't imagine It's good. It's a fantastic thing Does that mean it won't have some bumps? No, of course it will. And we're just in the midst of a bump right now. We are in the midst of a bump. The audience can totally attack me and trash me because I've been wrong clearly in my bullish view on semiconductors over the past month in particular. I will say that it was an open question to me about whether the business of serving tokens, being a large-angle model, was a profitable business.

Anthropic in Q2 and Q3 showed that the answer to that question is yes. Now there are headwinds. The price of compute is going up. Anthropics Q3 revenue went up by more, excuse me, went up by less than its cost of compute went up. So the cost of compute is going up and then the price of the tokens themselves is going down. So those are both headwinds and I don't deny that. And I do think that if it ends badly, it probably will be because it's unable to identify what the moat is other than constantly pursuing the frontier and being able to sell frontier intelligence. But I will

say the Chinese models, some of them are profitable to serve as well on a gross margin basis. Now the prices are going down. That's what Palantir is saying. Yeah, they are. I didn't listen to what Palantir's call. Yeah. Sorry, go ahead, Max. No, I was going to say Palantir is basically saying they're, they're serving non frontier models and they're using their technology to sort of like.

wrap it, keep it secure, right? They're securing your data to make sure that everything that you can use the cheapest model, cheapest best model. And yeah, if you listen to the Palantir call, it's pretty bearish everybody else. Like, yeah. But this is why, this is the thing that I struggle with. Sure, these companies are earning a little bit more money. They're not earning anything like what is necessary to support their stock prices. But the biggest struggle is they're not all going to win and they're all priced to win. And so when you add all those up, if everybody's priced to win and not all of them are going to win, you can't own all of them. You have to be right about the winners. And that applies to every stock in the market. I believe that almost all stocks that matter are priced to win.

And I just don't think there's enough for everybody to win. That makes sense. And by the way, that means that if you can pick the winners, you can still make a fortune. But you can't own all of them. And Andy, OK, I do have to ask, because we did promise the audience that you'd talk about the quarterly or funding announcement, could you just give us as much time as you want? just literally what was the QRA today released at 830 from Treasury Secretary Scott Besin. And how did it compare to expectations and any potential market consequences that you think or any other conclusions? Sure. It tried to send us in that direction earlier, but somehow we didn't pick up. Anyway, so what is it? The government decides how much debt they're going to issue and tells us about it, tells us how much debt they're going to buy back in a formal way.

So what did they tell us today? They told us they So what have they been doing? They've been issuing four trillion dollars of roughly four point two trillion dollars of coupon auctions tips and floating rate notes every year for many years now To finance the deficit to pay back old debt that rolls runs that that matures to pay back the Fed for a period of time though that's over

and So that's what they do and the public buys whatever others are not buying. The private sector buys. They also roll bills. There's seven and a half trillion dollars of bills and those roll every sort every you know constantly or constantly having bills get rolled in auction. So the government is constantly raising in the market selling 12 to 13 trillion dollars of debt per year. More than that actually because the bills roll more often. Anyway they're selling a bunch of debt.

They've got to increase the debt because we're running a 2 trillion deficit. So they tell us about that. And so what they tell us today, they told us they haven't changed the amount of coupon debt they're planning on issuing, same as they've been doing for two and a half years. They told us that, as I mentioned earlier, Scott Besen increased the coupon buyback in the 20 to 30 year space from 64. billion to 192 billion pace, they maintained that pace, which was there was no certainty they were going to, I'll get to expectations later, but they had to extend the plan and they did at the same pace, which means that net there's about 252 billion worth of 20s and 30 year debt being sold per year, which is down quite a bit from prior years, which suppresses interest rates. And so Today, they could have done lots of things. They could have reduced the buyback. They could have increased the buyback. They could have changed the amount of 20 and 30 year auctions. Some people thought they may cancel the 20 year auction. I actually think that's not a bad idea, but they may have canceled it and not and financed with bills, I would have canceled it and financed with 10s and 30s. Anyway, lots of moving parts. Net, you have to decide whether there's more after today, whether there's more treasury bonds.

floating around to be sold by the government or less than expectations. The answer is pretty much status quo, pretty much in line with expectations. And so what it says is that Besson attempted to suppress interest rates, failed pretty much, right? Because interest rates are much higher than when he started suppressing in August, though they've come back a little bit. And he didn't double down and he didn't fold. He just checked. And so to me, that means that interest rates are free to move in the direction that the macro economy determines and the supply and demand from the private sector determines. And so unfortunately, long story short, it's a non-event. All right. A non-event, but the narrative that the Treasury is going to constrain

yields because this 10 year can't go to 6%, you reject that. And the market can float freely. In other words, he listened to Stanley Druckenmiller's Wall Street Journal piece about let the market speak. As I said, I think he just checked. I didn't think he folded. When I read Stanley's thing, I said, Besson's got to fold. I didn't think he would. What he did is he just left it open. He said, I still am the house. I'm just not going to act today.

But if they take 10-year bonds, yields up to 6%, and the stock market falls, this guy's going to pump. You can count on him reducing supply or buying back more. He has shown his hand that he's willing to try to suppress interest rates. He just doesn't need to this particular time. the Federal Reserve policy that they did during World War II of yield-curt control where they literally did not allow yields to go above a certain level and they'd buy back as much as possible. Obviously what you're describing is not that, it's the Treasury and it's a much more strained form, but it is of a similar nature of a very powerful government entity trying to constrain government bond yields. Yes, there have been periods of time in which the government, writ large, has administered the long-end yield. And they still do. They regulate. They create the ability for banks to have supply and demand of treasuries. They choose what they want to issue. They are constantly involved. August 18th, Besson took it to a different level.

He didn't withdraw that. He's still doing it. And so the question is, does that tell you that he's going to do it more or less? Well, for now, he doesn't have to do anything. But will he, if he has to? Well, for sure. Thank you, Andy. Thank you, Max. Thank you everyone for watching. Please leave a rating and review for monetary matters on Apple podcast and Spotify. I'd also like to give a big thank you to today's sponsor, Lens, the Samara thematic ETF, which gives real asset exposure and the potential to diversify a 6040 portfolio. Read the prospectus at SermayaETF.com. Disclosures in the show notes. Thanks again.